

INTEREST INCOME

● In terms of return on assets, gold loan is the most profitable segment for NBFCs ● The second most profitable segment is auto finance

Gold loan	4.50%
Auto finance	2.50%
Housing finance	1.90%
MSME loans	1.90%
MFI loans	1.80%

NOTE ESTIMATED RETURN ON ASSETS FOR FY23
SOURCE NIRMAL BANG

THE ROAD AHEAD

But this period has also seen intensification of competition in the gold loans market, which for the longest time was dominated by NBFCs like Muthoot Finance. Muthoot still commands the highest market share at 44% in the NBFC space and has 6,169 branches and an AUM of ₹79,500 crore in H1FY24. Muthoot, along with rivals like IIFL Finance, Manappuram Finance, and Muthoot Fincorp, accounted for 86% of the NBFC gold loan pie in FY23.

These players now have to compete against big banks that have become more aggressive in recent years and have started grabbing a bigger slice of the pie since 2021. Part of the reason for this is the RBI's decision to increase the LTV cap to 90% for retail gold loans mentioned earlier.

Another reason is the increase in agricultural gold loans. Banks are more active in agricultural sector lending, which is classified as priority sector lending. As a result, a significant portion of the gold loans portfolio of many banks, like State Bank of India and BoB, consists of agriculture gold loans, when farmers pledge gold for a loan. This is why, when we consider agriculture loans, banks hold 77% of the gold loans market share, but when

we exclude them, banks' share drops to 39%, per a Nirmal Bang report. In the case of agri gold loans, there is no cap on LTV, and they can go up to 85-90%.

And banks enjoy an advantage in this space, because their interest rates are lower. "Gold loans are typically offered at a differential of 8-10% where banks offer it at around 9-17% and NBFC at 20-26%," says Shet. NBFCs usually have higher interest rate because of the higher cost of funds, since they finance their operations through bank loans and market borrowings.

NBFCs, meanwhile, are more agile than banks and their turnaround time is very short. The reason is that they have internal assessors to ascertain the value of gold, while banks usually depend on external entities for valuation.

"Banks generally prefer external valuers as they are certified by the government and have experience in evaluating various gold ornaments. Therefore, when it comes to valuation, making use of the professional services of valuers is a better option," says Jadhav.

Considering the soundness of this logic, the RBI has been asking NBFCs to opt for external valuers, says an industry expert on the condition of anonymity.

In light of the increase in bad loans in this space, it's no wonder that the regulator has acted when it has. The average gross non-performing assets (NPAs) of gold loan for top four NBFCs rose from 1.8% in FY21 to 2.9% in FY22, before moderating slightly to 2.15% in FY23. Consider this: Muthoot Finance's gross NPA was 0.9% in FY21 but increased to 3% in FY22 and further to 3.8% in FY23. Figures for FY24 are not available yet.

As gold prices head towards newer highs, with the expected increase in demand for gold loans, it is time to tighten rules surrounding such loans to safeguard small, underprivileged borrowers, and the financial system. Another potential area of concern is the end-use of the loan, which is difficult to trace, unlike in a home loan where the money is directly transferred to the builder or seller. "If a loan is used for purposes other than stated, like investing in capital markets, it can be a concern, as money goes into high-risk activities, resulting in a higher risk of default," says Doshi of KPMG.

Clearly, it's been a wild ride these past few years, and it's not likely to slow down anytime soon, considering the appetite for quick money. That means the regulator will have to stay alert to step in at the first sign of any wrongdoing. **BT**

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